provides strong utility to the world beyond as an investment, which drives demand. Over time, next to zero bitcoin will be issued, but the aim is for the network to be so big by then that all contributors get paid a sufficient amount via transaction fees, just like Visa or MasterCard.

Many other cryptoassets follow a similar model of mathematical issuance, though they differ widely in the exact rates. For example, Ethereum initially planned to issue 18 million ether each year in perpetuity. The thinking was that as the underlying base of ether grew, these 18 million units would become an increasingly small percentage of the monetary base. As a result, the rate of supply inflation would ultimately converge on 0 percent. The Ethereum team is currently rethinking that issuance strategy due to an intended change in its consensus mechanism. Choosing to change the issuance schedule of a cryptoasset from the plan at time of launch is more the exception than the norm, though since the asset class is still young we are not surprised by such experimentation.

Steemit’s team pursued a far more complicated monetary policy with its platform, composed of steem (STEEM), steem power (SP), and steem dollars (SMD). The founding team initially chose STEEM to increase in supply by 100 percent per year. While they incorporated a wrinkle that would decrease the total units outstanding by periodically dividing it to combat outrageously large numbers, they quickly discovered that even this modification would not be enough to avoid an unsustainably high rate of inflation and devaluation